

CHAPTER 12: KEEP COMPETITORS OUT

A truly great business must have an enduring “moat” that protects excellent returns on invested capital.

— Warren Buffett

IN THE OVERWHELMING NUMBER OF CASES, A company needs to do something well for a very long time if it is to become a 100-bagger. Persistence is as essential to a 100-bagger as gin to a martini.

So, what signs can we look for in a business that it has what it takes to run for 20 years?

This gets us to the topic of moats.

A moat is what protects a business from its competitors. It is a durable competitive advantage. (Phelps called it a “gate”—same idea.) Warren Buffett popularized the idea, and the literature on this topic is vast. I will highlight a few things here, including an unpublished study by Matthew Berry, Columbia Business School alumnus and formerly of Lane Five Capital, that gives a definitive answer — or at least, the most definitive I’ve seen yet.

When I think of moats, I think of Pat Dorsey. He was the director of equity research at Morningstar and is currently the president of Sanibel Captiva Investment Advisers. Dorsey writes and speaks extensively on moats.

In his *The Little Book That Builds Wealth*, Dorsey uses an analogy for why you should pay attention to moats: “It’s common sense to pay more for something that is more durable. From kitchen appliances to cars to houses, items that last longer are typically able to command